actually increase the price as soon as the stock split is announced. Since you have more shares, your investment would be worth more than it would have been without the split.

Risk Level of Stocks

Stocks don't offer a guaranteed return, so don't ever invest in something you don't understand. Making an informed decision to assume risk creates an opportunity for a greater return on your investment. Jumping into investments you know nothing about, or that you hope will create a quick profit, puts your money at risk.

Stock Indexes

A stock index reports changes in prices for the market that it tracks. There are many U.S. and international stock indexes, but the best known in the world is the Dow Jones Industrial Average (DJIA), which tracks thirty U.S. blue chip stocks. Blue chips are the stocks of very large, well-established companies (in poker, the blue chips are the ones with the highest dollar value).

Other U.S. indexes include the Russell 2000, which measures the overall performance of small- to mid-cap companies; the S&P 500, an index of the 500 largest companies in America; and the Wilshire 5000, which tracks the entire stock market. It's helpful to compare the performance of your stock or mutual fund to the applicable index. If you have a small-cap mutual fund, compare its return to the Russell 2000. If the fund consistently underperforms the index, consider selling your shares and putting the money in a fund with better performance.

How to Buy Stocks

You can buy stocks through a full-service brokerage or a discount brokerage by calling a stockbroker and placing an order, or you can use a discount Internet broker such as E*TRADE (*www.etrade.com*), TDAmeritrade (*www.tdameritrade.com)*, or Scottrade (*www.scottrade.com)* to execute your own orders. Make sure you understand all of the terms on the online form before finalizing your purchase. You don't need a full-